Decentralized Time Value of Events

An economic calculation for human action

The Core Principle

All statements are created equally, but do not have the same abilities.

What is true is not based only on what is right, good, and correct, but also on what is sacrificed for that statement to be true.

Our focus will be on two statement types:

- **Risk Factors**
- **News Headlines**

The Goal: Weighting Information 🧐

This is an economic calculation to determine how the **grammar of an event** conceptually impacts our **human action**.

It's analogous to how **Bayes' Theorem** teaches us to weight new information against previous knowledge.

The 5-Step Framework

1. **Isolate** the statement.
2. **Analyze** the grammar using Zipf's Law.
3. **Codify** the event using a library.
4. **Calculate** the conceptual "interest" of the event.
5. **Introduce** the Responsibility Index (R).

Step 1: Isolate the Statement

First, we isolate the specific statement we want to analyze. This could be a risk factor from a report or a single news headline.

Step 2: Apply Zipf's Law

Next, we deconstruct the statement's language.

- The goal is to separate the **semantic primes** (core meanings) from the overarching **concepts** and **subjects**.

Step 3: Determine Event Codes

We then contextualize the statement by looking up its concepts and subjects in an **event library**.

- This provides an objective classification.
- **Example**: Using the library's criteria to determine if an event code should be "riot" or "protest."

Step 4.1: The Time Value of an Event

We apply the logic of the **Time Value of Money** equation to understand the conceptual "interest" of an event. Actuarial notation can also be used for manual calculations.

$$FV = PV(1 + i)^n$$

- This is less about determining event *probability*.
- It's more about determining how the event **weighs against our Dunbar Calculus of Value**.

Step 4.2: The Responsibility Index (R)

The conceptual "interest rate" in our calculation is determined by the **Responsibility Index (R)**.

R is a value derived from two legal principles:

1. The legal determination of **negligence** (the potential for harm/cost).
2. The legal determination of **diligence** (the effort to prevent harm).

Step 5: The Unsolved Calculus of R 🤔

The mechanics of working with **R** are yet to be determined. A key question remains:

Should *R* always be considered a number less than or equal to 1?

This would imply that the **externalities** (unintended consequences) of an action are always greater than or equal to what the **diligences** (intended actions) were meant to impact.